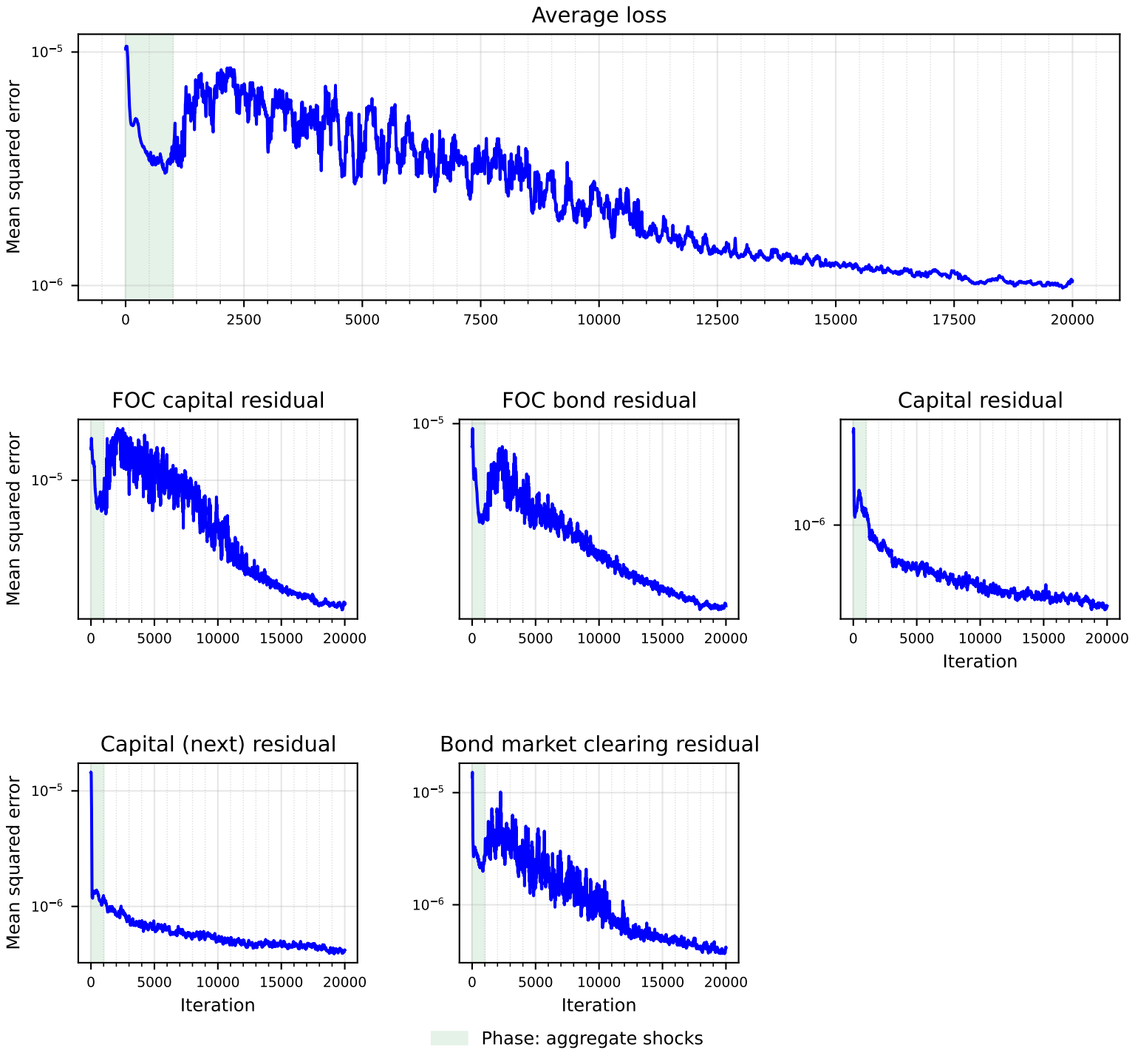

Average loss
Mean squared error
10^{-5}
10^{-6}
0
2500
5000
7500
10000
12500
15000
17500
20000
FOC capital residual
FOC bond residual
Capital residual
Capital (next) residual
Bond market clearing residual
Iteration
Phase: aggregate shocks